



ENCAP INVESTMENTS L.P.
EnCap Energy Capital Fund XII

Quarterly Review

As of March 31, 2025

Confidential



ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund XII

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**Section I: Summary of Significant Events and Valuation****Activity for the three months ended March 31, 2025**

Transactions		
<i>Type</i>	<i>#</i>	<i>\$ in millions</i>
Commitments	2	601.6
Investments	8	245.8
Distributions-Cash	1	0.8

Fund XII made new or expanded commitments to the following portfolio companies (\$ in millions):

Commitments:

XCL II	\$ 455.0
Pegasus III	146.6
	<u>\$ 601.6</u>

Fund XII made investments in the following portfolio companies (\$ in millions):

Investments:

Paloma VII	\$ 76.0
Black Swan II	63.0
Ridge Runner II	29.4
Pegasus III	29.3
Dunamis	24.0
Tumbleweed V	16.5
XCL II	5.2
Novo II	2.4
	<u>\$ 245.8</u>

Fund XII received a cash distribution of \$0.8 million from Grayson Mill III.

Fund Performance Summary (\$ in millions)

The table below presents investment performance since inception. A valuation by investment is incorporated in the subsequent table.

<i>Date of Initial Investment</i>	<i>Total Committed</i>	<i>Capital Invested</i>	<i>Realized Proceeds</i>	<i>Unrealized Value</i>	<i>Total Value</i>	<i>Gross IRR</i>	<i>Net IRR</i>
June-23	\$ 3,894.9	\$ 1,756.2	\$ 277.6	\$ 2,336.6	\$ 2,614.1	57.4%	36.2%



Portfolio Status

Fund XII								
(As of March 31, 2025; \$ in millions)								
Company	Date of Initial Investment	Commitment	Total Capital Invested	Realized Proceeds	Unrealized Value	Total Realized Proceeds & Unrealized Value	ROI	Gross IRR
<i>Realized or Substantially Realized Investments</i>								
Double Eagle IV	Jun-23	\$ 350.0	\$ 273.7	\$ -	\$ 812.1	\$ 812.1	3.0x	85.7%
Grayson Mill III	Jun-23	206.9	206.9	277.6	146.4	423.9	2.0	65.5
		556.9	480.6	277.6	958.4	1,236.0	2.6x	78.2%
<i>Unrealized Investments</i>								
Ridge Runner II	Aug-23	343.1	260.7	-	279.0	279.0	1.1	
Black Swan II	Oct-23	194.0	177.7	-	177.7	177.7	1.0	
Paloma VII	Feb-24	190.0	158.2	-	158.2	158.2	1.0	
Novo II	Feb-24	285.0	17.1	-	17.1	17.1	1.0	
Pegasus III	Mar-24	342.0	156.3	-	184.0	184.0	1.2	
Verdun III	Apr-24	285.0	164.0	-	220.6	220.6	1.3	
Double Eagle V	Sep-24	800.0	256.9	-	256.9	256.9	1.0	
Tumbleweed V	Sep-24	300.0	24.8	-	24.8	24.8	1.0	
Dunamis	Sep-24	144.0	54.7	-	54.7	54.7	1.0	
XCL II	Mar-25	455.0	5.2	-	5.2	5.2	1.0	
		3,338.0	1,275.6	-	1,378.1	1,378.1	1.1x	
		\$ 3,894.9	\$ 1,756.2	\$ 277.6	\$ 2,336.6	\$ 2,614.1	1.5x	57.4%

Comparison to prior quarter
(\$ in millions)

	Valuation		Q1 2025 Cash Inv. (Distrib.)	Valuation Increase (Decrease)	% Change in Unrealized	Comments (> \$5MM and 5% change)
	12/31/2024	3/31/2025			from 12/31/24	
Double Eagle IV	\$ 827.7	\$ 812.1	\$ -	\$ (15.7)	(1.9%)	
Grayson Mill III	137.4	146.4	(0.8)	9.8	7.2%	Increase in DVN Share Price
Ridge Runner II	250.5	279.0	29.4	(0.9)	(0.3%)	
Black Swan II	114.7	177.7	63.0	-	-	
Paloma VII	82.2	158.2	76.0	-	-	
Novo II	14.7	17.1	2.4	-	-	
Pegasus III	153.5	184.0	29.3	1.2	0.6%	
Verdun III	202.2	220.6	-	18.4	9.1%	Increased activity and drilling results
Double Eagle V	256.9	256.9	-	-	-	
Tumbleweed V	8.3	24.8	16.5	-	-	
Dunamis	30.7	54.7	24.0	-	-	
XCL II	-	5.2	5.2	-	-	
	\$ 2,078.7	\$ 2,336.6	\$ 245.0	\$ 12.8	0.6%	

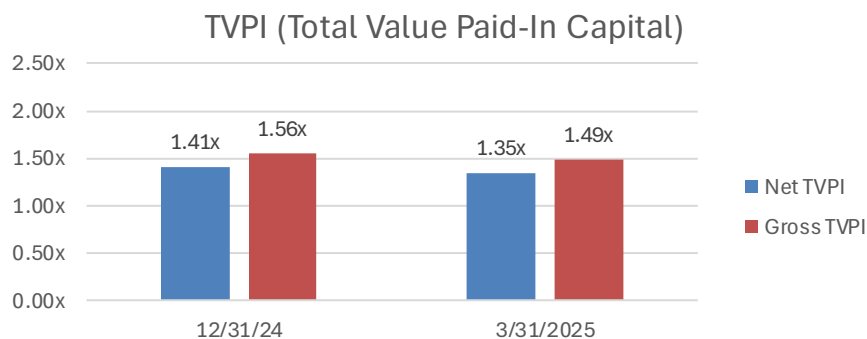
**Fund Status**

(\$ in millions)

	12/31/24	3/31/25
Total Commitments	5,247.2	5,247.2
Total Paid-In Capital	1,565.2	1,858.7
Recallable Capital	279.8	279.8
% Total Capital Drawn*	28.3%	33.6%
Remaining Commitment*	3,961.8	3,668.3
Investments at Cost	1,510.4	1,756.2
Investments at FMV	2,355.5	2,614.1
Gains (losses) - on unrealized companies	83.9	102.5
Gains (losses) - on realized companies	761.2	755.4
Gross Distributions	276.7	277.6
Cash Balance	38.7	52.1
# of Companies Funded	11	12
# of repeat teams	9	10
# of new teams	2	2
Realized above cost	2	2
Realized below cost	-	-
Unrealized above cost	3	3
Unrealized at cost	6	7
Unrealized below cost	-	-
Gross Distributions:		
% of total drawdowns	17.7%	14.9%
% of committed capital	5.3%	5.3%
Key Fund Valuation Metrics:		
Gross IRR	67.9%	57.4%
Gross DPI (Distributions to investment)	0.18x	0.16x
Gross RVPI (Residual value to paid-in capital)	1.38x	1.33x
Gross TVPI (Total value to paid-in capital)	1.56x	1.49x
Net to LPs:		
Net IRR	46.5%	36.2%
DPI (Distributions to paid-in capital)	0.18x	0.15x
RVPI (Residual value to paid-in capital)	1.23x	1.20x
TVPI (Total value to paid-in capital)	1.41x	1.35x

* Includes recallable capital

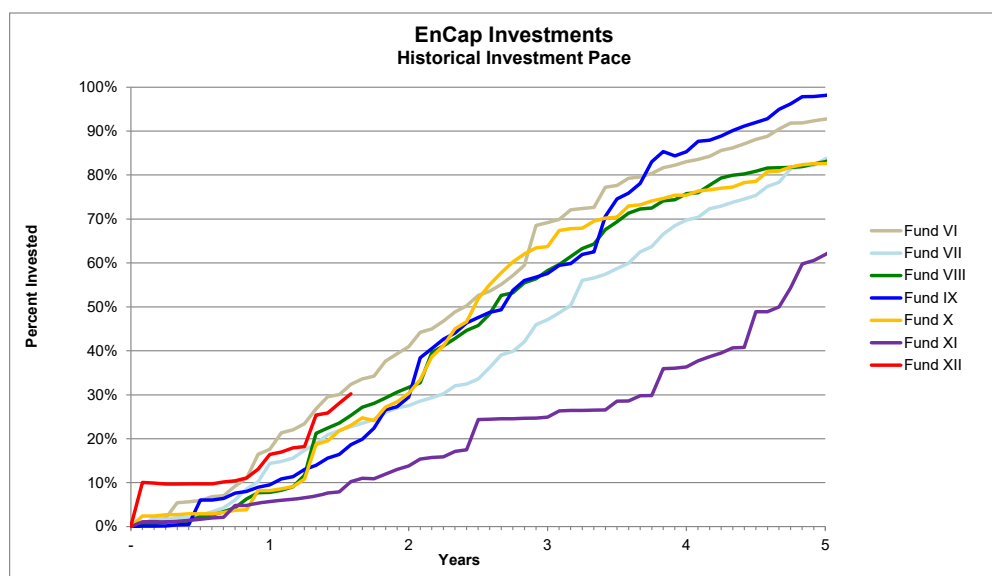
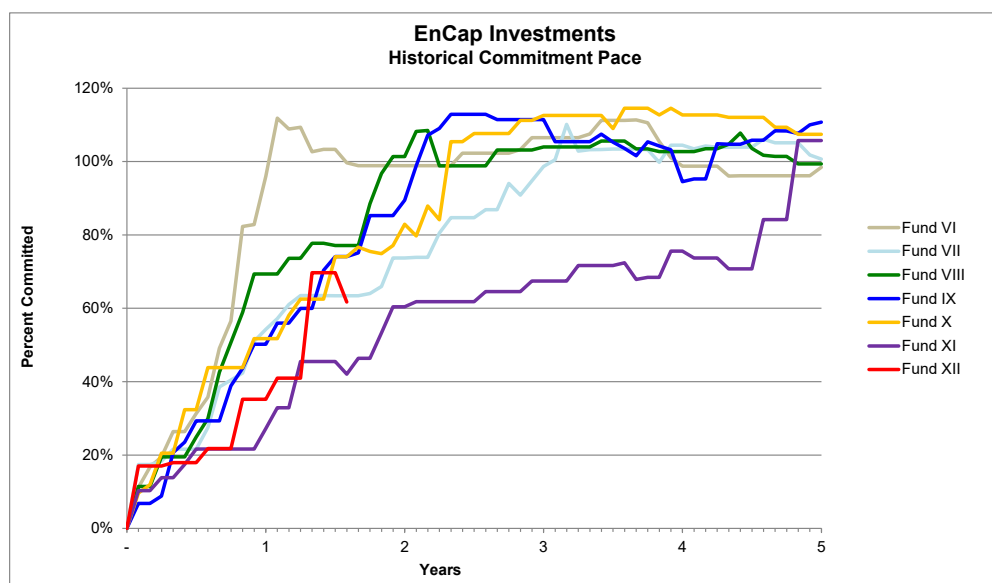
Historical Fund Performance (TVPI)



Projected Contributions and Distributions as a Percentage of Commitment

	2025	2026	2027
Contributions	20%	15%	15%
Distributions	9%	5%	5%

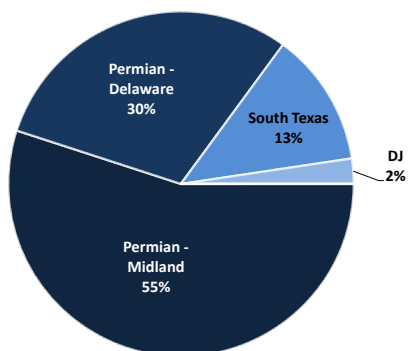
Commitment and Investment Pace



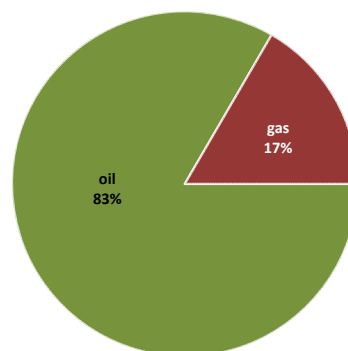
Portfolio Review and Discussion of Recent Transactions

Fund Capital Allocation

Fund XII Capital Invested By Basin (Unrealized)

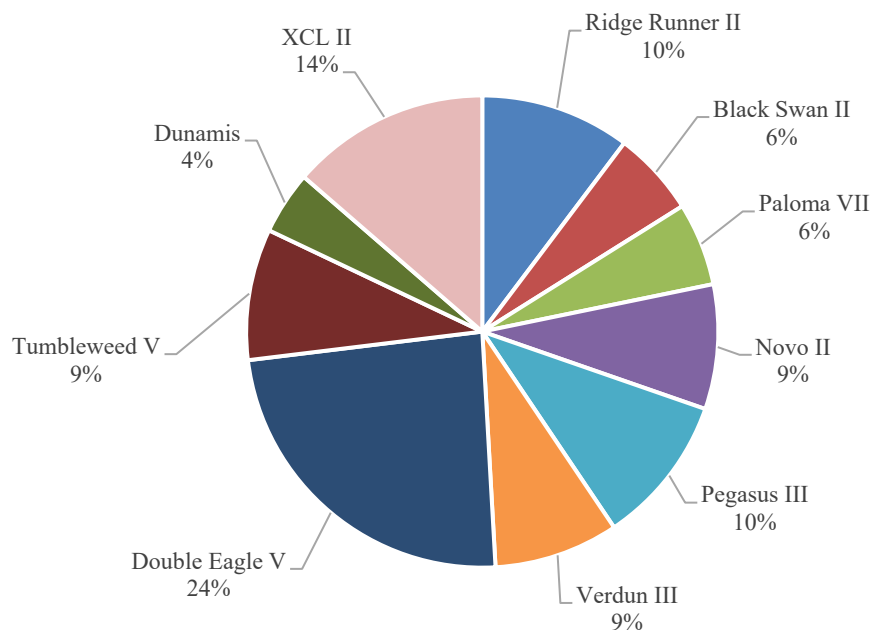


Fund XII Oil & Gas Mix
(Unrealized - Investment Weighted)



gas @20:1 mcf/bo
 NGL's included in oil @0.6bbl/bo

Fund XII Unrealized Commitment Concentration





Significant Events and Transactions

Double Eagle IV	- Announced partial sale to Diamondback Energy for ~\$4.2 billion (\$3.0 billion cash and ~\$1.2 billion stock)
Grayson Mill III	- Monitoring the market for opportunities to sell DVN shares
Ridge Runner II	- On February 26, 2025, Ridge Runner signed a PSA to acquire ~6,000 net acres across Lea and Eddy Counties, NM for \$300 million in cash; target closing date is May 2, 2025
Black Swan II	- Began one-rig development program and continues to evaluate opportunities in the Midland Basin
Paloma VII	- Continued to execute business development strategy; currently running a one-rig development program
Novo II	- Actively evaluating numerous opportunities in the Northern Delaware Basin and Oklahoma
Pegasus III	- Closed on \$160 million of minerals transactions and amassed ~13,500 net royalty acres in the core of the Permian Basin
Verdun III	- Closed on \$225 million Eagle Ford acquisition in Q2 2024, contemplating a partial rig development program and evaluating additional bolt on opportunities
Double Eagle V	- Began acquiring and evaluating acreage in the Permian Basin
Tumbleweed V	- Began acquiring and evaluating mineral and royalty acreage in the Permian Basin
Dunamis	- Continued to evaluate additional acquisition opportunities in the DJ
X2 Resources	- Actively evaluating acquisition opportunities across the Lower 48

Environmental, Social and Governance Highlights

During the due diligence phase of our investment process, EnCap ensures that the prospective management team members are fully aligned with EnCap's Environmental, Social and Governance ("ESG") building blocks prior to making the investment decision. Upon partnering with a new team, EnCap requires each portfolio company to have a likeminded ESG policy and supporting policies and procedures in place. In addition, EnCap requires each portfolio company to report on significant ESG issues and provide details of ongoing ESG developments during each quarterly Board meeting. This information is used by EnCap to quantitatively measure ESG activities and the impact on the performance of each portfolio company.

During the quarter, EnCap managed Fund XII in accordance with ESG policies. There were no material changes to the ESG risks and opportunities facing the portfolio, and there were no material ESG incidents to report during the quarter.

Additionally, refer to our EnCap Sustainability Report available on our FIS DX website.



Other Reporting Matters

In addition to this report (which contains all fund financial statements in Section IV), the following reports net to each Limited Partner are available on our Investran DX website:

1. Statement of Partner's Capital, including allocation of the following:
 - a. Management fees
 - b. Net operating income (loss)
 - c. Realized gains (losses)
 - d. Unrealized gains (losses)
 - e. Unrealized incentive allocation
 - f. Incentive payments to the GP
 - g. Contributions paid
 - h. Distributions received
 - i. Recallable distributions received
 - j. Tax withholdings, if applicable
 - k. Portfolio company summary cash flows
2. Status of Payout
3. ILPA Fee and Expense Reporting Template

Other reporting available on our Investran DX website includes:

1. Cash call and distribution notices
2. Quarterly management fee calculations
3. Supplemental fund and portfolio company information (available 45 days after quarter end; 105 days after year end)
 - a. Fund organization information
 - b. Portfolio company organization information
 - c. Portfolio company financial information
4. Supplemental Schedule of Investments
5. All tax reporting
6. Annual audited financial statements
7. Advisory Board presentations
8. Legal documents

Please contact Katherine Cangelosi at Kcangelosi@encapinvestments.com if log on assistance is needed.



Section II: Industry Overview

Crude Oil Overview

The first quarter of 2025 saw significant volatility in the crude oil market. WTI began the quarter at approximately \$74 per barrel, demonstrating a ~4.5% YoY increase. Prices peaked in mid-January due to tighter sanctions on Russian and Iranian oil and colder weather. However, prices began to fall by the end of the quarter due to a combination of geopolitical tensions, trade policies, OPEC+ production decisions, and weaker-than-expected global demand.

Natural Gas Overview

The first quarter of 2025 saw volatile Henry Hub natural gas spot prices, influenced by weather patterns, record production, storage dynamics, and shifting demand expectations. Quarter end spot prices settled at approximately \$4.11 MMBtu, a ~20% increase from the prior. Q1 also saw record LNG exports to Europe, driven by depleted storage and geographical sanctions.

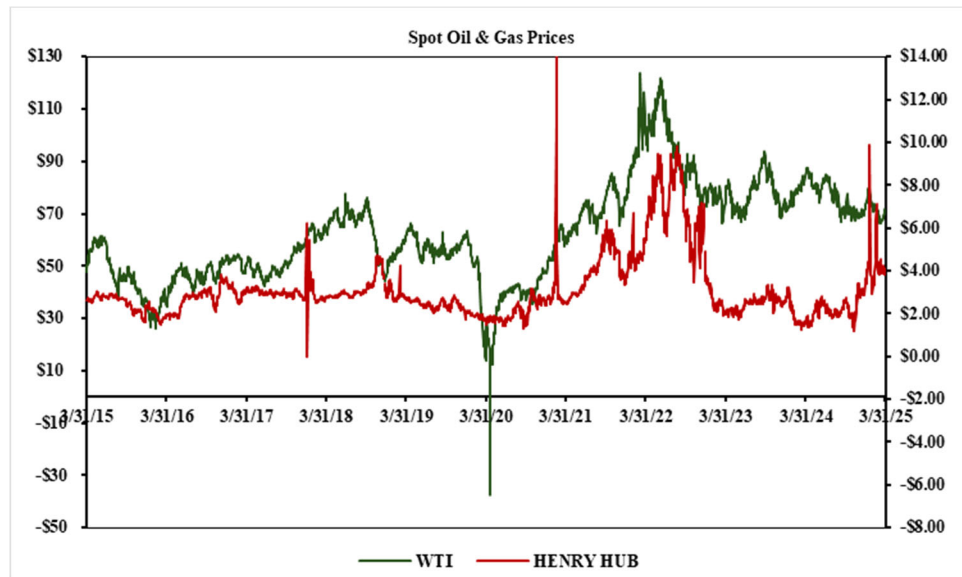


Figure 1: Oil & Gas Spot Prices

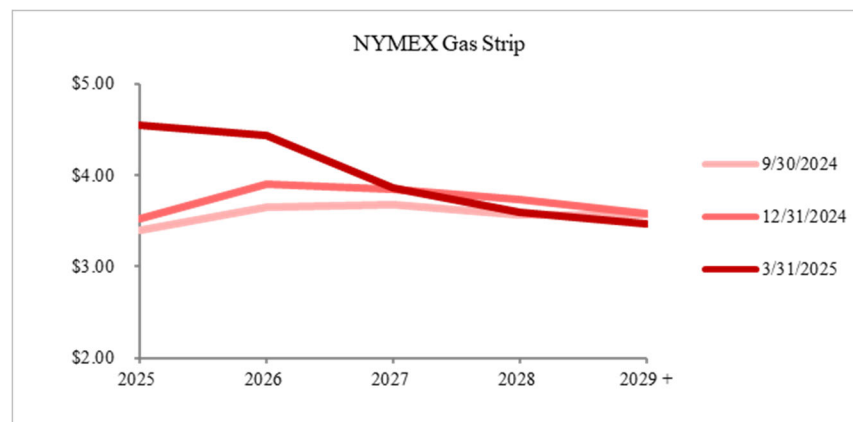


Figure 2: Natural Gas (Henry Hub) Strip Prices

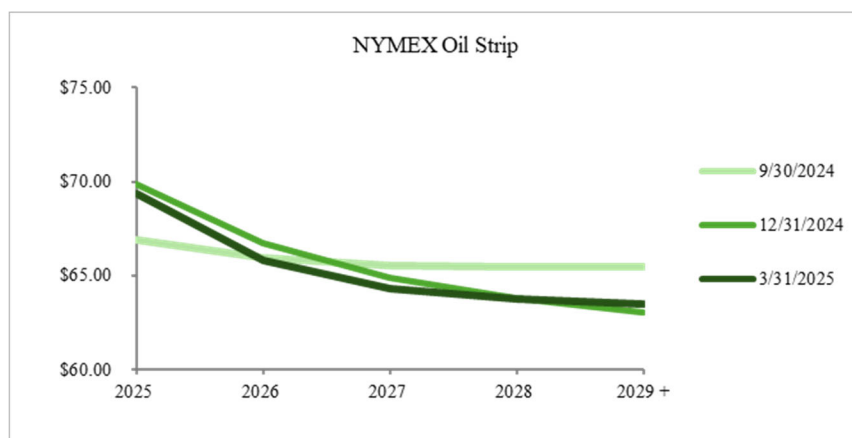


Figure 3: Crude Oil (WTI) Strip Prices

Drilling Activity

During Q1 2025, the total U.S. rig count (as measured by Baker Hughes) was flat QoQ, but down 6% YoY. The U.S. total natural gas rig count finished the quarter at 102 rigs, equal to the prior. Year-over-year, the U.S. total natural gas rig count finished down ~11%. The U.S. total oil rig count was up in Q1 2025, moving from 483 rigs at the beginning of the quarter to 486 rigs at quarter-end. Year-over-year, the U.S. total oil rig count finished down ~4%.

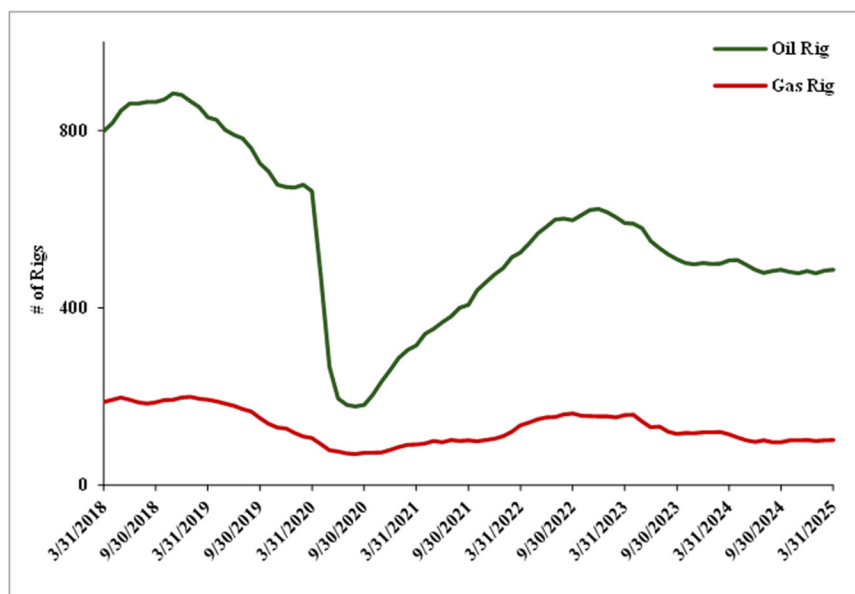


Figure 4: U.S. Total Onshore and Offshore Rig Count

M&A Activity

During Q1 2025, the upstream M&A market experienced a significant uptick, reaching \$17 billion in total transaction value. This marked the second-best start to a year since 2018. Buyers continued to focus on acquiring core inventory, but the scarcity of high-quality shale inventory and high asking prices for undeveloped drilling inventory created a challenging environment. These conditions were further complicated by falling oil. Despite these headwinds, the market saw strong demand for assets across multiple basins. Notable upstream M&A deals during the quarter included: Diamondback Energy's acquisition of Double Eagle IV; EQT's purchase of Olympus Energy from Blackstone; and Kimbell's acquisition of Midland Basin royalty interests.

Report Sources: Enverus, Baker Hughes, Rapidan Energy Group and Hart Energy.



ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund XII

Section III: Portfolio Companies

1. DOUBLE EAGLE IV
2. GRAYSON MILL III
3. RIDGE RUNNER II
4. BLACK SWAN II
5. PALOMA VII
6. NOVO II
7. PEGASUS III
8. VERDUN III
9. DOUBLE EAGLE V
10. TUMBLEWEED V
11. DUNAMIS
12. X2



Valuation Assumptions

Valuations have generally been determined as follows (subject to adjustment for particular circumstances and review by the Advisory Board):

- 1) Private equity securities and mineral interests held during the initial investment period are valued at cost (which is considered fair value) until such time as there is a measurable change in fair market value based upon the assumptions below.
- 2) Private equity exploration and production investments held after the initial investment period (generally longer than twelve months unless an expansion from an earlier fund) are valued at the risk adjusted PV10 of the future cash flow stream. The future cash flow stream is based on third party engineered projections applying the NYMEX forward strip pricing as of the valuation date.

The reserve categories were generally risked as follows:

- a. PDP – no discount applied
- b. PDNP – a 20% discount applied
- c. PUD – a 40% discount applied
- d. Probable – a 80% discount applied
- e. Possible – a 90% discount applied

The average NYMEX strip prices by year as of March 31, 2025 were as follows:

	<u>\$/BO</u>	<u>\$/MMBTU</u>
2025	69.39	4.55
2026	65.78	4.44
2027	64.31	3.87
2028	63.76	3.59
2029+	63.47	3.46

Unevaluated oil and gas leaseholds and other operating assets, such as gathering systems and processing plants, are valued at measurable inputs, such as original acquisition price and more recent public or private transactions in similar assets.

- 3) Non-producing and early stage mineral interests and ORRIs are valued at precedent transactions or discounted cash flows if underlying third-party reserve reports are available. Mature producing mineral interests and ORRIs are valued using a cash flow multiple of forecasted next 12 month cash flow. The cash multiple utilized is derived by taking into consideration market and asset specific factors including, but not limited to: location; life cycle or maturity of the asset; projected growth profile; precedent transactions; and comparable public market trading multiples.
- 4) Double Eagle IV is valued based on the terms of their expected sale agreement.
- 5) Grayson Mill III is valued based on the expected indemnity holdback per the terms of the sale agreement and Devon Energy Corporation (NYSE: DVN) common units (3.687 MM) valued at the quarter end share price of \$37.40.

Note: Valuation assumptions 1) through 5) as presented above apply to all investments currently held by Fund XII. The remaining assumptions constitute the standardized valuation methodology to potentially be applied in future periods and are provided for informational purposes only.



- 6) Non-restricted public securities are valued at the quoted price at the end of the quarter.
- 7) Subordinated and restricted public securities (assuming adequate float) are valued at 90% of the quoted price at the end of the quarter.
- 8) Debt securities are valued at the face amount of the note plus accrued interest (less any reserve for uncollectible amounts or credit risk discounts).
- 9) Redeemable preferred securities are valued at the face amount of the issue plus accrued dividends (less any reserve for uncollectible amounts).
- 10) Other private/public equity securities with limited trading volume are valued based on relevant factors including NAV, comparables, significant events, etc.



Double Eagle Energy Holdings IV, LLC

Substantially Realized

Company Description

Double Eagle Energy Holdings IV, LLC (“Double Eagle”) was formed in March 2022 and is based in Fort Worth, TX. Double Eagle is led by Cody Campbell (Co-CEO) and John Sellers (Co-CEO), as well as Blake Carpenter (CCO), Joshua Gregg (CFO), and Garrett Martin (COO). Mr. Campbell and Mr. Sellers founded the first iteration of Double Eagle in 2009 with a focus on acquiring and flipping leases in the early days of the shale land grab. From 2009 to 2012 Double Eagle was primarily focused on the Haynesville and Eagle Ford. Double Eagle was one of the first movers in the oil window of the Eagle Ford and sold tens of thousands of acres to Chesapeake, Enduring, and Hilcorp.

Management formed Double Eagle II in 2014 with a focus on the Midland Basin. Over the course of 24 months, Double Eagle leveraged deep industry and in-basin relationships as well as an unparalleled “land machine” to build a position of ~71,000 net acres in the core of the Midland Basin. Double Eagle II invested a total of ~\$520 million in the assets, and ultimately sold to Parsley in 2017 for ~\$2.8 billion, realizing a gross 3.3x ROI and 95% IRR.

Following the success of Double Eagle II, Management formed Double Eagle III to re-enter the Midland Basin in 2017. Shortly after formation, Double Eagle III merged with Four Point to form DoublePoint. The team ultimately invested a total of ~\$1.8 billion in acquisitions and development capital. Management executed on a sophisticated ground game, closing 78 acreage trades over 50,000 net acres, to create a blocky drill-ready position of ~98,000 net acres in the core of the Midland Basin. The team successfully operated 7 horizontal rigs with 3 frac crews, drilling 266 wells and growing production from 8 MBOED in Q1 of 2019 to 90 MBOED in April of 2021. DoublePoint ultimately sold to Pioneer in May of 2021 for ~\$6.4 billion, representing a gross 3.1x ROI and 43% IRR.

Double Eagle intends to leverage its industry relationships to create a core acreage position in the Midland and Delaware Basins through acquisitions and acreage swaps. Management will use its proven operating abilities to develop the assets and ultimately create a sizable cash flowing business that will be attractive to buyers in any market environment.

Transaction Summary

Double Eagle was initially capitalized with a \$1.1 billion common equity commitment, which includes \$1.0 billion from Fund XI and \$100 million from Management. For up to 90 days after closing, we allowed Management to raise commitments from Friends and Family of up to \$100 million, which would reduce Fund XI’s commitment on a dollar-for-dollar basis. Any additional commitments from Friends and Family would be added to the total commitment amount, with a maximum expansion of \$50 million.

In Q2 2022, Double Eagle closed on additional commitments from Friends and Family, raising the total commitment to be \$1.15 billion. This includes \$900 million from Fund XI, \$154 million from Friends and Family, and \$100 million from Management.

In Q1 2023, Double Eagle’s commitment was expanded by 50% in order to continue acreage acquisitions and execution at scale with the intention to transfer the commitment to Fund XII upon fundraising first close and Fund XI will receive a return of 8% for dollars previously funded. This matter was brought to the Fund XI advisory board in Q4 2022 who approved the expansion and subsequent commitment transfer.

In Q2 2023, Double Eagle’s \$450 million commitment expansion was transferred from Fund XI to Fund XII and Fund XI received a return of 8% from Fund XII for dollars previously funded. In Q3 2023, \$100 million of the Fund XII commitment was transferred to select co-investors.

Recent Events

On February 14, Double Eagle IV signed a PSA with Diamondback Energy, Inc. (NASDAQ: FANG) (“Diamondback”) to sell a portion of DE IV’s Midland Basin assets in the northern area of the play (“North



Midland”) for total proceeds of \$4.2 billion. The consideration mix consists of \$3.0 billion in cash and \$1.2 billion in Diamondback stock (6.9 million shares based on the 30-day VWAP at signing of \$169.34). EnCap believes this is a highly attractive valuation for these assets and yields a strong return for the Funds’ investments. The transaction closed on April 1, 2025, and there was no lock-up period on the received shares.

Double Eagle IV additionally retained assets in the southern part of the Midland Basin (“Retained South”), primarily in Reagan County. The Retained South assets include ~\$1.1 billion of PDP and ~20,000 net acres. As part of the sale agreement, DE IV and Diamondback have agreed to a drilling program that will see Double Eagle IV operating on a portion of Diamondback’s acreage in the Southern part of the Midland Basin. DE IV will accelerate the current development pace, bringing forward value to both DE IV and Diamondback.

Valuation (\$000’s)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
June-23	\$273,703	\$0	\$812,057	\$812,057	2.97x	85.7%

**Grayson Mill Energy III, LLC***Substantially Realized***Company Description**

Grayson Mill Energy III is a privately held, Houston-based independent oil and gas company focused on the development of oil and gas properties in the Williston basin. The Grayson Mill III management team is comprised of the same senior management team as Grayson Mill I and Grayson Mill II. The team is led by Eric Bayes (CEO), Blake Sullens (COO), Matt Ultis (CFO), and Dewey Gerdorn (VP-Business Development). Mr. Bayes was previously VP Operations with Oasis Petroleum (“Oasis”), where he managed the entirety of Oasis’ operations team in the Bakken, which included 16 rigs, six frac crews, and over 300 employees at its peak. While at Oasis, Mr. Bayes was being groomed to be a future leader of the company prior to deciding to pursue his own venture. Mr. Sullens was most recently Operations Manager at Alta Resources, where he played a critical role in the execution and success of the company’s Duvernay asset. He brings a unique combination of operational, engineering, and petrophysical expertise to the team. Mr. Ultis was previously CFO of Redman Management Company (GSO portfolio company) and also held various corporate planning, finance, and investor relations roles at Oasis. Mr. Gerdorn previously served as VP-Business Development at Bright Horizon Resources, where he focused on the Midcontinent and East Texas basins. Prior to Bright Horizon Resources, Mr. Gerdorn worked at PDC Energy for nineteen years, where he was part of the original team that formed PDC’s successful strategy to enter the Wattenberg and Piceance basins. Grayson Mill represents a strong, data-driven and operational team well situated to execute the company’s strategy in the Bakken.

Transaction Summary

Grayson Mill Energy III was formed in Q2 2023 in conjunction with the announced acquisition of Ovintiv’s Bakken assets for \$825 million. At signing, Fund X and Fund XI posted a ~\$41 million deposit to secure the deal. Subsequently, the company was capitalized with \$904 million of total equity commitments: (i) \$67 million Fund X, (ii) \$133 million Fund XI, (iii) \$400 million Fund XII, (iv) \$300 million co-investors, and (v) \$4 million management. Management’s initial \$4 million commitment will expand up to \$20 million as ongoing distributions are made from Grayson Mill II. Approximately \$245 million of the \$300 million in commitments from co-investors was closed in June 2023, and the balance closed in July 2023. The investment is structured in the form of common equity with investors receiving a proportionate share of the distributions until an 8% IRR and 1.00x ROI is achieved. Thereafter, distributions will be allocated on a graduated basis after certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In Q2 2023, Grayson Mill III closed its acquisition of Ovintiv’s Bakken assets for \$825 million. Ovintiv’s Bakken assets include ~44k net acres producing ~34 MBoe/d net (80% liquids). The valuation was highly compelling with significant hard value coverage and purchased at a ~2.0x EBITDA multiple. The asset has significant upside in the form of ~200 gross / ~130 net risked development locations and refrac opportunities. EnCap believes the team is well-equipped to efficiently operate and develop its inventory, while also adding additional inventory through the company’s ongoing business development efforts.

Management formally brought operations in-house in Q3 2023 and initiated a 1-rig program and began performing refracs in conjunction with new development. Well results to date have been in-line with initial expectations.

On September 27, 2024, EnCap closed on the previously announced sales of Grayson Mill II and Grayson Mill III’s operated and non-operated properties in the Williston Basin to Devon Energy (NYSE: DVN) for total consideration of \$5.0 Billion, comprised of \$3.425 Billion in Cash and \$1.715 Billion in equity (priced at \$47.03 / share prior to announcement). Value allocation was determined by the buyer, with DVN allocating \$3.65 Billion to Grayson Mill II and \$1.35 Billion to Grayson Mill III. The DVN common stock is not subject to any lockup post-closing.



Grayson Mill successfully built an attractive asset base through a combination of acquisitions, trades and new leases and executed a large-scale development program to create significant value. The Grayson Mill assets offered a combination of scale, meaningful free-cash-flow, and high-quality inventory that attracted a strong buyer in Devon to facilitate a compelling exit.

Recent Events

Currently EnCap holds 23.2 million DVN shares from the sale of Grayson Mill II and Grayson Mill III (6.5 million Fund X, 13.0 million Fund XI, and 3.7 million Fund XII). EnCap will monitor the market for future opportunities to sell shares but continues to have confidence in the company's ability to generate shareholder value.

Valuation (\$000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
June-23	\$206,914	\$277,565	\$146,420	\$423,985	2.05x	65.5%

**Ridge Runner Resources II, LLC****Company Description**

Ridge Runner Resources II, LLC (“Ridge Runner” or “the Company”) was formed in August 2023 and is based in Houston, TX. Ridge Runner is led by Scott Germann (Co-CEO/Chairman) and Brian Cassens (Co-CEO), as well as Aaron Gaydosik (CFO) and Brad Grandstaff (COO). The core management team previously worked together to orchestrate the turnaround at Chisholm Energy (Warburg Pincus) which ultimately sold to Earthstone in February 2022 for \$604 million, representing a 4.5x value uplift from when the new management team took over operations.

Ridge Runner will initially focus its efforts in the Delaware Basin where management can leverage its deep network of contacts, technical understanding of subsurface dynamics, and recent operational experience as it employs an acquire, exploit, and optimization strategy of undervalued, liquids-rich assets.

Transaction Summary

In August 2023, Fund XII committed \$146.3 million and management committed \$3.8 million, providing a total equity commitment of \$150.0 million to the Company. The investment is structured in the form of common equity with Fund XII receiving 97.5% of distributed cash until an 8% IRR or 1.25x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

In Q4 2024, Ridge Runner’s commitment was expanded by \$200.0 million (\$196.8 million from Fund XII; \$3.2 million from Management) to fund the closing of a significant transaction across Lea, Eddy, and Chaves Counties, NM and to provide dry powder for future capital needs.

Post Investment Activity

In October 2024, Ridge Runner closed on the acquisition of ~17,700 net acres across Lea, Eddy, and Chaves Counties, NM for \$184.0 million. At acquisition, the assets were producing ~4,500 Boe/d and included 60 gross/19 net operated locations in the core development fairways of the Northern Delaware Basin. There is potential to dramatically increase working interest through forced pooling, trades, and bolt-on opportunities. Additionally, the assets come with significant non-op currency in the heart of Lea County that can be used to further promote trades.

Recent Events

On February 26, 2025, Ridge Runner signed a PSA to acquire ~6,000 net acres across Lea and Eddy Counties, NM for \$300 million in cash. We believe the assets being acquired represent a highly complementary platform to Ridge Runner’s existing in-basin assets and will provide the company with development inventory that immediately competes for capital. The target closing date for this acquisition is May 2, 2025.

Separately, the company continues to work numerous business development opportunities throughout the Northern Delaware Basin, adding highly economic drilling inventory. The company plans to commence a one-rig development program in 2025 but has numerous off-ramps should market conditions dictate.

Valuation (\$000’s)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Aug-23	\$260,724	\$0	\$279,047	\$279,047	1.07x	N/A

**Black Swan Oil & Gas II, LLC****Company Description**

Black Swan Oil & Gas II (“Black Swan II”) is a privately-held, Oklahoma City-based independent oil and gas company focused on the identification, acquisition, and exploration of liquids-rich plays in various onshore US basins. The Black Swan II management team is largely made up of individuals responsible for Black Swan’s successful sale to Ovintiv (NYSE: OVV) and will be led by Ian Yingling (CEO), David LaLonde (CFO), Sean Nguyen (VP - Operations), Alex Hester (VP – Land & Business Development), and Andrew Clark (Geology Manager). Management has an established track record in multiple basins with varying strategies, and we view this repeat team as having the ability to identify, capture, and execute on attractive investment opportunities.

Black Swan II will initially focus its efforts in the Midland Basin where Management can leverage its deep network of contacts, technical understanding of subsurface dynamics, and recent operational success in the northern side of the Basin. Management believes there are actionable consolidation opportunities as both public and private operators look to offload assets. Black Swan II will also remain opportunistic as it relates to other basins given its experience across multiple U.S. basins.

Transaction Summary

Black Swan II was initially capitalized with a \$200 million total equity commitment, which includes \$194 million from Fund XII and \$6 million from Management. The investment is structured in the form of common equity, with Fund XII receiving a proportionate share of distributions until an 8% IRR is achieved. Thereafter, distributions will be allocated on a graduated basis after certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Recent Events

Black Swan II has aggregated ~16,200 net acres in the Midland Basin since inception. The company continues to actively evaluate both large-and small-scale opportunities in the area to further bolster their position. The company initiated a one-rig development program in the fourth quarter of 2024, and has drilled 15 wells to date, bringing 5 to production. The company will continue to run a one-rig program on the asset while evaluating further business development opportunities.

Valuation (\$000’s)

The investment in Black Swan II is carried at cost (which approximates fair value).

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Aug-23	\$177,707	\$0	\$177,707	\$177,707	1.00x	N/A

**Paloma Permian Holdings, LLC****Company Description**

Paloma Permian Holdings, LLC (“Paloma VII”) is a privately held, Houston-based company led by Chris O’Sullivan (President), Mark Gabrisch (EVP, Land/Legal), Bobby Poirrier (EVP, CFO), Will Derrick (EVP, Business Development), and Andrew Keck (SVP, Land & GC). This new entity marks EnCap’s eighth partnership with management dating back to 1998. Paloma VII will seek to leverage its proven land and business development capabilities to aggregate a leasehold position in Eddy and Lea Counties, New Mexico through a combination of leasing, farm-ins, trades, and acquisitions. These capabilities were instrumental in the value creation stories of prior successful Paloma entities in the Barnett, Eagle Ford, Utica, Mid-Continent, and Haynesville. Similar to Paloma VII’s entry into the Delaware Basin, each of these prior plays were areas where the team did not have previous track records of building companies or deploying its ground game. Management will take a highly opportunistic approach in its business development efforts and will put an emphasis on transactions that are either difficult in nature or require significant land efforts and creativity.

Transaction Summary

Paloma VII was formed in January 2024 with a \$200.0 million total commitment, which includes \$190.0 million from Fund XII and \$10.0 million from management. The investment is structured in the form of common equity, with Fund XII receiving a proportionate share of distributions until an 8% IRR and 1.0x ROI is achieved. Thereafter, distributions will be allocated on a graduated basis after certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers. Certain executive members of the management team will continue to dedicate their time to both Paloma VI and Paloma VII, and overhead will be allocated based off direct costs and time served, which is reviewed and approved by the Board of Managers.

Recent Events

Paloma VII is progressing its business development plan in the Northern Delaware Basin and has line-of-sight to aggregate several operated DSUs in the near term. The team continues to evaluate numerous opportunities to expand its asset base. The company initiated a development program in late 2024 and is currently running one rig.

Valuation (\$000’s)

The investment in Paloma VII is carried at cost (which approximates fair value).

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Feb-24	\$158,175	\$0	\$158,175	\$158,175	1.00x	N/A

**Novo Oil & Gas Holdings II, LLC****Company Description**

Novo Oil & Gas Holdings II, LLC (“Novo II”) is a privately held, Oklahoma City-based independent upstream company. Novo II is led by John Zimmerman (CEO), Kurt Shipley (COO), Brandon Patrick (President & CCO), and David Avery (CFO), all returning members of the Novo I team. Novo II intends to focus its efforts in the Northern Delaware Basin where management will leverage existing relationships and recent operational success.

Transaction Summary

Novo II was formed in February 2024 with a \$300.0 million commitment, which includes \$285.0 million from Fund XII and \$15.0 million from management. The investment is structured in the form of common equity, with Fund XII receiving 95.0% of distributed cash until an 8.0% IRR and 1.10x ROI is achieved. Thereafter, distributions will be allocated on a graduated basis after certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Recent Events

Novo II is actively evaluating numerous opportunities in its core focus areas of the Northern Delaware Basin and Oklahoma.

Valuation (\$000's)

The investment in Novo II is carried at cost (which approximates fair value).

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Feb-24	\$17,100	\$0	\$17,100	\$17,100	1.00x	N/A

**Pegasus Resources Holdings III, LLC****Company Description**

Pegasus Resources Holdings III, LLC (“Pegasus III”) is a privately-held, Fort Worth-based company focused on the acquisition and aggregation of mineral interests and overriding royalties in the core of the Permian Basin. Pegasus II is led by George M. Young Jr. (CEO), Will Rodgers (President), Lynn Frank (CFO), Scott Hargrove (VP-Land), and David Hvyl (Sr. Reservoir Engineer). Mr. Young was formerly CEO of Silverback Exploration, a Fund IX portfolio company, which sold its Delaware Basin assets to Centennial Resource Development in December 2016 for \$855 million, which generated a 3.1x ROI net to Fund IX. Management originally formed Pegasus Resources Holdings, LLC (“Pegasus I”) in 2017, which was consolidated into EnCap Minerals, LLC in June 2021. Management now manages EnCap Minerals in addition to Pegasus II and Pegasus III.

In continuation of the business plans of Pegasus I and Pegasus II, Pegasus III’s strategy is to selectively acquire mineral and royalty interests in top-tier economic areas of the Permian Basin that have a high probability of being actively and densely developed within underwriting standards that achieve target returns. The Pegasus team utilizes a data driven approach when analyzing potential acquisitions with a keen focus on technical parameters, development timing, and land configuration/lease details. Additionally, the team has extensive experience and a strong network in the Permian Basin, which Pegasus III will leverage to capture proprietary opportunities.

Transaction Summary

Pegasus III was formed in February 2024 with a \$200.0 million total commitment, which includes \$195.4 million from Fund XII and \$4.6 million from management. The investment is structured in the form of common equity, with Fund XII receiving a proportionate share of distributions until an 8% IRR and 1.25x ROI is achieved. Thereafter, distributions will be allocated on a graduated basis after certain return targets are met. EnCap holds a majority position on the Board of Managers. Overhead between EnCap Minerals, Pegasus II, and Pegasus III, is allocated based off direct costs and attention served and is reviewed and approved by the Board.

Recent Events

Since inception in March 2024, Pegasus III has closed ~\$160 million of minerals transactions and amassed ~13,500 net royalty acres substantially located in the core of the Permian Basin. Pegasus III’s portfolio remains largely undeveloped, and the company expects significant growth through increased industry activity and further acquisitions. Pegasus III remains active in evaluating opportunities in the core of the Permian Basin and continues to identify multiple actionable opportunities consistent with its strategy.

Valuation (\$000’s)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Mar-24	\$156,331	\$0	\$183,961	\$183,961	1.18x	N/A

**Verdun Oil Company III, LLC****Company Description**

Verdun Oil Company III, LLC (“Verdun III”) is a privately held, Houston-based independent upstream company led by the same team as Verdun I and Verdun II which consists of Tim Nein (CEO), Danny Savitz (CFO), Jason LaGrega (COO), Will Rider (EVP Land & BD), and Martin Perez (EVP Engineering).

Verdun III was formed in April 2024 to acquire Repsol’s Eagle Ford assets for \$225 million. The company is capitalized with a \$300 million total commitment, which includes \$285 million from Fund XII and \$15 million from management. The investment is structured in the form of common equity, with Fund XII receiving a proportionate share of distributions until an 8% IRR is achieved. Thereafter, distributions will be allocated on a graduated basis after certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Transaction Summary

Verdun III’s \$225 million acquisition of the Repsol assets encompasses ~34,000 net acres primarily in La Salle County, producing ~10 Mboe/d (20% oil, 60% liquids). Inclusive of newer wells put online, Management’s base assumption for PDP PV10 is ~\$109 million. Management believes that 82 gross development locations exist with compelling economics. Adjusting for PDP, Management believes that greenfield sticks are being acquired for ~\$1.4 million per location. Additionally, Management has identified a number of refrac opportunities representing additional upside.

The current forecast for Verdun III calls for a partial rig development program that grows production to >15 Mboe/d by year-end 2024 and >25 Mboe/d by year-end 2025. At NYMEX strip, 2H 2024 EBITDA and 2025 EBITDA is projected to be ~\$39 million ~\$175 million respectively and the asset would become free-cash-flow positive in early 2025. A distribution program is expected to be initiated in 2025 dependent on commodity prices and leverage profile.

A \$27 million deposit was funded in April 2024 to secure the asset. The acquisition effective date is May 1, 2024 and closing occurred in June 2024.

Recent Events

Management closed on \$225 million acquisition of Eagle Ford assets in Q2 2024. The team is contemplating a partial rig development program while actively evaluating additional bolt on opportunities.

Valuation (\$000’s)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Apr-24	\$164,000	\$0	\$220,571	\$220,571	1.34x	N/A

**Double Eagle Energy Holdings V, LLC****Company Description**

Double Eagle Energy Holdings V, LLC (“Double Eagle”) is a privately held, Fort Worth-based independent upstream company formed in September 2024. Double Eagle V is led by the same team as Double Eagle IV which consists of Cody Campbell (Co-CEO) and John Sellers (Co-CEO), as well as Blake Carpenter (CCO), Joshua Gregg (CFO), and Garrett Martin (COO). Double Eagle intends to leverage its industry relationships to create a core acreage position in the Midland and Delaware Basins through acquisitions and acreage swaps. Management will use its proven operating abilities to develop the assets and ultimately create a sizable cash flowing business that will be attractive to buyers in any market environment.

Transaction Summary

Double Eagle V will initially be capitalized with a \$1.09 billion common equity commitment comprised of \$900 million from Fund XII and \$190 million from legacy Double Eagle investors and Management. EnCap plans to transfer \$100 million of the Fund XII commitment to Fund XI. Legacy Double Eagle investors and Management will have the ability to increase their combined commitment amounts after initial close such that total commitments equal \$1.875 billion. Funds controlled by EnCap will be no less than 65% of the final commitment amounts. EnCap will control the board and approve all major decisions with Management retaining some negative control given their substantial equity commitment to the business.

Recent Events

As of March 31, 2025, Double Eagle V has called \$350 million of its equity commitment to begin acquiring Permian acreage, amassing ~25,000 net acres to date.

Valuation (\$000's)

The investment in Double Eagle V is carried at cost (which approximates fair value).

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Sep-24	\$256,881	\$0	\$256,881	\$256,881	1.00x	N/A

**Tumbleweed Royalty V, LLC****Company Description**

Tumbleweed Royalty V (“Tumbleweed V”) is a privately held, Fort Worth-based independent upstream company formed in September 2024. Tumbleweed V is led by the same team as Tumbleweed IV which consists of Cody Campbell (Co-CEO) and John Sellers (Co-CEO), as well as Grant Wright (President), Blake Carpenter (CCO), and Ben Faith (COO). Tumbleweed intends to leverage its industry relationships to identify and acquire mineral and royalty interest in the Midland and Delaware Basins.

Transaction Summary

Tumbleweed V will initially be capitalized with a \$363 million common equity commitment, consisting of \$300 million from Fund XII, \$37 million from legacy Double Eagle investors (“DE Investors”) and \$27 million from Management. Management and DE Investors will have the ability to increase their combined commitment amounts after initial close such that total commitments equal \$625 million. Funds controlled by EnCap will be no less than 65% of the final commitment amounts.

Recent Events

As of March 31, 2025, Tumbleweed V has called \$30 million of its equity commitment to begin acquiring net royalty acres in the Permian Basin.

Valuation (\$000's)

The investment in Tumbleweed V is carried at cost (which approximates fair value).

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Sep-24	\$24,771	\$0	\$24,771	\$24,771	1.00x	N/A

**Dunamis Energy, LLC****Company Description**

Dunamis Energy, LLC (“Dunamis”) is a privately held, Denver-based independent upstream company. Dunamis is led by John McCready (CEO), Seth Foreman (CFO), Scott Hansen (Head of Upstream Operations), Ben Jackson (Head of Asset Evaluation & Technical Review), and Rick Opat (Head of Midstream Operations & Facilities). Mr. McCready previously served as CFO of Felix Energy Holdings II LLC (“Felix”) (Fund X), where he, Ben Jackson (VP of Reservoir Engineering at Felix), and Rick Opat (COO at Felix Water & Midstream) were instrumental in Felix’s rapid growth in the Delaware Basin and ultimate March 2020 exit to WPX Energy for \$2.5 billion.

Dunamis intends to focus on building a position in the DJ Basin, where we believe there currently exists a unique opportunity to build a large asset base with low risk, highly economic drilling inventory.

Transaction Summary

Dunamis was formed in September 2024 and is capitalized with a \$150.0 million commitment, including \$144.0 million from Fund XII and \$6.0 million from management. The investment is structured in the form of common equity, with Fund XII receiving a proportionate share of distributions until an 8% IRR is achieved. Thereafter, distributions will be allocated on a graduated basis after certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Recent Events

In October 2024, Dunamis closed on its \$42.5 million acquisition of Chord’s DJ Basin assets. The acquisition was 100% underpinned by PDP value and includes meaningful, low risk, highly economic, undrilled drilling inventory. The assets consist of ~32,000 net acres located in rural Weld County on the Northwest side of the DJ Basin. Dunamis plans to bring their first 5 wells online during Q2 2025.

Valuation (\$000’s)

The investment in Dunamis is carried at cost (which approximates fair value).

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Sep-24	\$54,720	\$0	\$54,720	\$54,720	1.00x	N/A

**X2 Resources Company, LLC****Company Description**

X2 Resources, LLC (“X2”) is a privately held, Houston-based company led by Gray Lisenby (CEO), Nick Barham (CFO), Ryan Rogers (COO), Dan Shea (EVP – Production, Facilities & Infrastructure), and Matt Jankovsky (EVP – Strategy & Business Development), with a deep bench of talent across all disciplines. This new entity marks EnCap’s second partnership with management, who previously led XCL Resources, LLC (“XCL I”). Most of the key management members from XCL I are returning for X2, and we have high confidence in the team’s technical, commercial, and operating capabilities. In particular, we believe the X2 team is well-equipped to evaluate, capture, and operate a large-scale asset with a primary focus on efficient, full-field development.

Transaction Summary

X2 was formed in February 2025 with a \$787.2 million total commitment, which includes \$455.0 million from Fund XII, \$80.0 million from Fund XI, \$240.8 million from other co-investors, and \$11.5 million from management. The investment is structured in the form of common equity, with EnCap funds and co-investors receiving a proportionate share of distributions until an 8% IRR and 1.0x ROI is achieved. Thereafter, distributions will be allocated on a graduated basis after certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Recent Events

The company is actively evaluating acquisition opportunities across the Lower 48.

Valuation (\$000’s)

The investment in X2 is carried at cost (which approximates fair value).

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Mar-25	\$5,202	\$0	\$5,202	\$5,202	1.00x	N/A



ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund XII

*Section IV:
Financial Statements*

ENCAP ENERGY CAPITAL FUND XII, L.P.

FINANCIAL STATEMENTS

MARCH 31, 2025

ENCAP ENERGY CAPITAL FUND XII, L.P.
STATEMENT OF ASSETS, LIABILITIES AND PARTNERS' CAPITAL

	March 31, 2025
ASSETS	
Investments, at fair value (cost \$1,635,259,021)	\$ 2,336,911,159
Cash and cash equivalents	52,061,551
Due from General Partner	10,201,963
Total assets	<u>\$ 2,399,174,673</u>
LIABILITIES AND PARTNERS' CAPITAL	
Due to affiliate	\$ 1,401,747
Due to Limited Partners	1,988,648
Total liabilities	<u>3,390,395</u>
Partners' capital:	
General Partner	156,052,749
Related Limited Partners	107,306,508
Limited Partners	2,132,425,021
Total partners' capital	<u>2,395,784,278</u>
Total liabilities and partners' capital	<u>\$ 2,399,174,673</u>

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XII, L.P.

SCHEDULE OF INVESTMENTS

MARCH 31, 2025

	<u>% owned</u>	<u>Cost</u>	<u>Fair Value</u>	<u>% of net assets</u>
Private equity investment holdings:				
EnCap DE IV Co-Invest, LLC	77.8%	\$ 273,703,098	\$ 812,057,058	33.9%
EnCap GM III Co-Invest, LLC	57.1%	85,946,096	146,720,273	6.1%
Ridge Runner Resources II, LLC	97.5%	260,724,333	279,047,000	11.6%
Black Swan Oil & Gas II Holdings, LLC	97.0%	177,706,688	177,706,688	7.4%
Paloma Permian Holdings, LLC	95.0%	158,175,000	158,175,000	6.6%
Novo Oil & Gas Holdings II, LLC	95.0%	17,100,000	17,100,000	0.7%
Pegasus Resource Holdings III, LLC	97.7%	156,330,666	183,961,000	7.7%
Verdun Oil Company III, LLC	95.0%	164,000,000	220,571,000	9.2%
EnCap DE V, LLC	88.9%	256,880,734	256,880,734	10.7%
Dunamis Energy, LLC	96.0%	54,720,000	54,720,000	2.3%
Tumbleweed Royalty V, LLC	82.6%	24,770,642	24,770,642	1.0%
EnCap XCL II Holdco XII, LLC	100.0%	5,201,764	5,201,764	0.2%
Total investments		<u>\$ 1,635,259,021</u>	<u>\$ 2,336,911,159</u>	<u>97.4%</u>

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XII, L.P.

STATEMENT OF OPERATIONS

	Three months ended March 31, 2025
Investment income:	
Interest	\$ 741,619
Dividend	815,290
Total investment income	<u>1,556,909</u>
Expenses:	
Management fees	8,684,577
General and administrative	459,613
Total expenses	<u>9,144,190</u>
Net investment loss	<u>(7,587,281)</u>
Realized and unrealized gain on investments:	
Net change in unrealized appreciation on investments	<u>12,362,895</u>
Net realized and unrealized gain on investments	<u>12,362,895</u>
Net increase in partners' capital resulting from operations	<u><u>\$ 4,775,614</u></u>

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XII, L.P.
STATEMENT OF CHANGES IN PARTNERS' CAPITAL

	<u>General Partner</u>	<u>Related Limited Partners</u>	<u>Limited Partners</u>	<u>Total</u>
Partners' capital at December 31, 2024	\$ 155,140,406	\$ 93,946,446	\$1,848,413,315	\$2,097,500,167
Capital contributions	—	12,757,184	280,751,313	293,508,497
Management Fees	—	—	(8,684,577)	(8,684,577)
Net increase in partners' capital resulting from operations (excluding management fees)	—	602,878	12,857,313	13,460,191
Incentive allocation	<u>912,343</u>	<u>—</u>	<u>(912,343)</u>	<u>—</u>
Partners' capital at March 31, 2025	<u>\$ 156,052,749</u>	<u>\$107,306,508</u>	<u>\$2,132,425,021</u>	<u>\$2,395,784,278</u>

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XII, L.P.

STATEMENT OF CASH FLOWS

	Three months ended March 31, 2025
Cash flows from operating activities:	
Net increase in partners' capital resulting from operations	\$ 4,775,614
Adjustments to reconcile increase in partners' capital resulting from operations to net cash used for operating activities:	
Purchase of investments	(245,841,275)
Change in unrealized appreciation on investments	(12,362,895)
Change in operating assets and liabilities	
(Increase) decrease in due from General Partner	(10,201,963)
Increase (decrease) in due to affiliate	(113,081)
Increase (decrease) in due to Limited Partners	(6,184,504)
Increase (decrease) in due to General Partner	(10,201,963)
Net cash used for operating activities	(280,130,067)
Cash flows from financing activities:	
Contributions from partners	293,508,497
Net cash provided by financing activities	293,508,497
Net change in cash and cash equivalents	13,378,430
Cash and cash equivalents, beginning of period	38,683,121
Cash and cash equivalents, end of period	\$ 52,061,551

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XII, L.P.

NOTES TO FINANCIAL STATEMENTS

NOTE 1 – ORGANIZATION:

EnCap Energy Capital Fund XII, L.P. (the “Partnership”), a Delaware limited partnership, was formed on February 27, 2023 to provide its partners with an opportunity to participate in privately negotiated equity and equity-related investments in the upstream and midstream independent oil and gas sector of North America. The Partnership operates pursuant to a partnership agreement (the “Partnership Agreement”) dated May 17, 2023, which should be referred to for a complete description of the provisions of the Partnership. EnCap Equity Fund XII GP, L.P. (“General Partner”), a Delaware limited partnership, is the sole general partner for the Partnership. The Partnership's final close was on September 30, 2024. There are 404 investors owning the limited partnership interests (“Limited Partners”) and 52 investors owning the related limited partnership interests (“Related Limited Partners” and collectively with the General Partner and Limited Partners, the “Partners”). The Related Limited Partners' and Limited Partners' total capital commitments to the Partnership are \$235.0 million and \$5,012.2 million, respectively. The Partners' total outstanding commitments as of March 31, 2025 were approximately \$3,668.3 million. The ratio of total contributed capital to total committed capital is 33.6%. The Partnership has committed \$3,894.9 million to portfolio companies, of which \$2,138.7 million remains unfunded at March 31, 2025.

The Partnership shall be dissolved upon the expiration of a 10-year period ending September 30, 2034, unless the Limited Partner Advisory Committee and General Partner agree to extend the Partnership for up to two additional one-year periods in order to permit an orderly liquidation and winding up of the Partnership.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Basis of Presentation

The accompanying financial statements have been prepared on the accrual basis in accordance with accounting principles generally accepted in the United States of America (“GAAP”). The Partnership is considered an investment company under GAAP and follows the accounting and reporting guidance applicable to investment companies in the Financial Accounting Standards Board Accounting Codification (“ASC”) 946, Financial Services – Investment Companies.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires the General Partner to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the dates of the financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results, including the ultimate amount realized upon the sale of illiquid and/or fair valued investments, can, and often do, differ from those estimates.

Investment valuation and transactions

The Financial Standards Accounting Board (“FASB”) guidance “Fair Value Measures,” establishes a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level 1 measurement) and the lowest priority to unobservable inputs (level 3 measurements). The three levels of the fair value hierarchy under the guidance are as follows:

- Level 1 Inputs that reflect unadjusted quoted prices in active markets for identical assets or liabilities that the Partnership has the ability to access at the measurement date;
- Level 2 Inputs other than quoted prices that are observable for the asset or liability either directly or indirectly, including inputs in markets that are not considered to be active;

ENCAP ENERGY CAPITAL FUND XII, L.P.

NOTES TO FINANCIAL STATEMENTS

Level 3 Prices, inputs or modeling techniques which are both significant to the fair value measurement and unobservable (supported by little or no marked activity).

Inputs are used in applying the various valuation techniques and broadly refer to the assumptions that market participants use to make valuation decisions, including assumptions about risk. Inputs may include price information, volatility statistics, specific and broad credit data, liquidity statistics, and other factors. An investment's level within the fair value hierarchy is based on the lowest level of any input that is significant to the fair value measurement. However, the determination of what constitutes "observable" requires significant judgment by the General Partner. The General Partner considers observable data to be that market data which is readily available, regularly distributed or updated, reliable and verifiable, not proprietary, provided by multiple, independent sources that are actively involved in the relevant market. The categorization of an investment within the hierarchy is based upon the pricing transparency of the investment and does not necessarily correspond to the General Partner's perceived risk of that investment.

Partnership investments are valued quarterly by the General Partner. Investment cost and the net realized gains or losses thereon are determined, for financial accounting purposes, on the specific identification method. The Partnership's investments that have been classified within level 3 utilize significant unobservable inputs and trade infrequently or not at all. Level 3 investments may include common and preferred equity securities, corporate debt, warrants and other privately issued securities. When observable prices are not available for these securities, the General Partner uses one or more valuation techniques (e.g., the market approach or the income approach) for which sufficient and reliable data is available. Within level 3, the use of the market approach generally consists of using comparable market transactions, while the use of the income approach generally consists of the net present value of estimated future cash flows, adjusted as appropriate for liquidity, credit, market and/or other risk factors.

The inputs used by the General Partner in estimating the value of level 3 investments included third party engineering reserve reports, oil and gas NYMEX future prices as of the date the valuation is performed, estimated capital expenditures, estimated operating costs, and risk-adjusted discount factors based on whether the reserves are classified as proved developed producing, proved developed nonproducing or proved undeveloped. Other relevant information considered by the General Partner may include the following factors: original transaction price, recent public or private transactions in the same or similar assets, restrictions on transfer, including the Partnership's right, if any, to require registration by the issuer of the offering and sale of securities held by the Partnership under the securities laws; significant recent events affecting the issuer, including significant changes in financial condition and pending mergers and acquisitions; and all other reasonable and customary factors affecting value. The fair value measurement of level 3 investments does not include transaction costs that may have been capitalized as part of the security's cost basis. Assumptions used by the General Partner due to the lack of observable inputs may significantly impact the resulting fair value and therefore the Partnership's results of operations.

Investments may be classified as level 2 when market information becomes available, yet the investment is not traded in an active market and/or the investment is subject to transfer restrictions, or the valuation is adjusted to reflect illiquidity and/or non-transferability.

Investments in restricted securities of public companies cannot be offered for sale to the public until the Partnership complies with certain statutory requirements. The valuation of the securities by management takes into consideration the type and duration of the restriction, but in no event does the valuation exceed the listed price on a national securities exchange or the NASDAQ national market. Investments in restricted securities of public companies are generally included in level 2 of the fair value hierarchy.

Investments whose values are based on quoted market prices in active markets, and are therefore classified within level 1, generally include active listed equities. The General Partner does not adjust the quoted price for such instruments, even in situations where the Partnership holds a large position and a sale could reasonably impact the quoted price.

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As of March 31, 2025, the investments in EnCap DE IV Co-Invest, LLC ("DE IV") and EnCap GM III Co-Invest, LLC ("GM III") are excluded from the fair value hierarchy leveling as the fair value of these investments was measured at net asset value ("NAV") using the practical expedient. The total value of these investments is \$958,777,331 as of March 31, 2025. The Partnership expects to realize the value remaining in these investments at the end of the terms of DE IV and GM III through distributions resulting from the liquidation of the remaining assets.

The Partnership's share of any underlying private equity investment holdings' investment in the securities of an issuer held by the private equity investment holdings which constitute greater than 5% of the Partnership's total net assets as of March 31, 2025 are:

<u>Description</u>	<u>Private equity investment holdings fair value</u>	<u>Partnership's proportionate fair value</u>
EnCap GM III Co-Invest, LLC		
Grayson Mill Holdings III, LLC	\$ 255,903,000	\$ 146,120,613
EnCap DE IV Co-Invest, LLC		
Double Eagle Energy Holdings IV, LLC	\$ 1,044,161,000	\$ 812,357,258

All other investments carried on the Statement of Assets, Liabilities and Partner's Capital are classified as level 3. Such investments total \$1,378,133,828 as of March 31, 2025.

The following table summarizes the valuation methodology and significant unobservable inputs used for investments as of December 31, 2024. The disclosure below excludes investments for which fair value is based on unobservable but non-quantitative inputs. Such items include investments for which the determination of fair value is based on prices from prior transactions or third party pricing information without adjustment.

<u>Assets (at fair value)</u>	<u>Fair Value at December 31, 2024</u>	<u>Valuation Techniques⁽¹⁾</u>	<u>Unobservable Inputs⁽²⁾</u>	<u>Range of Inputs (Weighted Average)</u>
Investments in Equity of Privately Held Companies	\$ 1,472,544,989	Precedent Transactions Income Approach / Discounted Cash Flow Analysis	Recent transaction price	N/A
	\$ 606,162,000 ⁽³⁾		Discount rate	10%
			NYMEX forward strip oil pricing (\$/BO)	\$63.07-\$69.86
			NYMEX forward strip gas pricing (\$/MMBTU)	\$3.53 - \$3.91
			Risk adjusted PDP reserves	0%
			Risk adjusted PDNP reserves	20%
			Risk adjusted PUD reserves	40% - 65% (56.6%)

(1) In determining certain of these inputs, the General Partner evaluates a variety of factors including economic conditions, industry and comparable companies and company specific developments including growth avenues, exit strategies and realization opportunities. The General Partner also evaluates the following unobservable inputs in considering the fair value of its investments: third party engineering reserve reports, oil and gas NYMEX future prices, risk-adjusted discount factors based on reserve category, capital expenditures and operating costs of the company, financial information obtained from each company including unaudited financial statements for the most recent period available, estimated financial performance and budget to actual variance analysis; current and projected financial condition of the company; current and projected ability of the company to service its debt obligations; type and amount of collateral, if any, underlying the investment; current financial ratios applicable to each investment; pending debt or capital restructuring of the company; projected operating results of the company; current information regarding any offers to purchase the investment; current ability of the company to raise any additional financing as needed. The General Partner has determined that market participants would take these inputs into account when valuing the investment. Once the General Partner has estimated the underlying

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entities' business enterprise value, a waterfall analysis of the entities' capital structure should be considered. Reserve categories are defined as follows: PDP - proved developed producing, PDNP - proved developed nonproducing, PUD - proved undeveloped, Prob - unproved probable, and Poss - unproved possible.

(2) Significant increases or decreases in any of the above unobservable inputs in isolation may result in a significant lower or higher fair value measurement, respectively.

(3) These valuation methodologies and significant unobservable inputs include investments in Grayson Mill Holdings III, LLC and Double Eagle Energy Holdings IV, LLC which are held by the Partnership indirectly through its investments in GM III and DE IV.

During the three months ended March 31, 2025, purchases of Level 3 investments totaled \$245,841,275. The classification of an investment within level 3 is based upon the significance of the unobservable inputs to the overall fair value measurement.

Transfers into and out of Level 3 are recorded at the value of the assets at the beginning of the year. During the three months ended March 31, 2025, the Partnership did not have any transfers between any levels of the fair value hierarchy. Because of the inherent uncertainty of valuation of these level 3 investments, those estimated values may differ significantly from values that would have been used had a ready market for the investments existed. Such differences could be material.

Concentration of Risk

As the Partnership's investments are primarily in the domestic independent oil and gas sector, revenue and profitability are dependent upon numerous factors beyond the Partnership's control, such as economic and political developments in the industry and competition from other sources of energy. The energy markets have historically been very volatile and there can be no assurance that oil and gas prices will not be subject to wide fluctuations in the future. A substantial or extended decline in oil and gas prices could have a material adverse effect on the Partnership's financial position, results of operations and cash flows.

The Partnership's investment program requires a moderate amount of diversification among its portfolio companies. Under the Partnership Agreement, the Partnership may not invest more than 25% of total commitments in any one portfolio company without consent of at least 66 2/3% of the Limited Partners. This policy may subject the Partnership to greater volatility than would usually be present in a more diversified portfolio, inasmuch as poor performance with respect to any one investment by the Partnership may expose the Partnership to a greater degree of loss than would be the case with a more broadly diversified investment program.

Most of the total commitment will be invested in privately negotiated equity and equity-related investments. Generally, there is no readily available market for such investments and, as such, the Partnership might take longer to liquidate these positions than would be the case for investments in publicly traded securities. Although these securities may be resold in privately negotiated transactions, the prices on these sales could be less than those originally paid by the Partnership. Also, issuers whose securities are not publicly traded may not be subject to public disclosure and other investor protection requirements applicable to publicly traded securities. In addition, the issuers of such privately negotiated securities are companies which typically have limited capitalization and limited operating histories, companies operating at a loss or with significant variations in operating results from period to period, companies which may need substantial additional capital to support operations and growth, and companies which may be highly leveraged. By their nature, such investments possess a high degree of business and financial risk that may result in substantial losses.

Cash and Cash Equivalents

Cash and cash equivalents consist of demand deposits and cash held in Fidelity Investments Money Market Funds Treasury Portfolio – Class I (“Fidelity money market account”), a money market fund which contains investments with weighted average maturities of three months or less. As of March 31, 2025, the Partnership has cash in its Fidelity money market account of \$52,061,551. The Partnership places its cash and cash equivalents with financial institutions, and, at times, cash held in bank accounts may exceed the Federal Deposit Insurance Corporation insured limit. Cash and cash equivalents are classified as Level 1 assets and are carried at cost or amortized cost which approximates fair value.

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Income and Expenses

Income and expenses from the Partnership's general operations are recognized on the accrual basis.

Investment Transactions and Related Investment Income

Investment transactions are accounted for on a trade-date basis. Dividend income is recorded on the record date with the exception of dividend income from marketable securities which is recorded on the ex-dividend date.

Gains or Losses on Investments

Realized gains and losses on investments represent the difference between the original cost of the investments and the related market price at the sale or distribution date, net of expenses, as well as write-offs. The difference between the original cost and the estimated fair value of investments, including any receivable for holdbacks, owned at the end of the period represents unrealized gains or losses.

Income Taxes

No provision for federal income taxes is included in the accompanying financial statements. As the Partnership is not subject to income taxation, the tax effects of its activities accrue to the individual partners.

The Partnership's tax returns are subject to examination by federal and state taxing authorities. As of December 31, 2023, the earliest tax year that remains subject to examination under the standard limitation period is 2023. Pursuant to the Bipartisan Budget Act of 2015, for tax years beginning after December 31, 2017, if the IRS makes audit adjustments to the Partnership's income tax returns, it (and some states) may assess and collect any taxes (including any applicable penalties and interest) resulting from such audit adjustments directly from the Partnership. To the extent possible under the rules, the Partnership's general partner may elect to either pay the taxes (including any applicable penalties and interest) directly to the IRS or, if eligible, issue a revised information statement to each current limited partner and former limited partner with respect to an audited and adjusted return. Although the Partnership's general partner may elect to have the limited partners take such audit adjustment into account and pay any resulting taxes (including applicable penalties or interest) in accordance with their interests in the Partnership during the tax year under audit, there can be no assurance that such election will be practical, permissible or effective in all circumstances. As a result, current limited partners may bear some or all of the tax liability resulting from such audit adjustment, even if such limited partners did not own an interest in the Partnership during the tax year under audit. If, as a result of any such audit adjustment, the Partnership is required to make payments of taxes, penalties and interest, the cash available for distribution to our limited partners might be substantially reduced. These rules are not applicable for tax years beginning on or prior to December 31, 2017.

In accordance with a provision of the FASB guidance "Income Taxes", the General Partner is required to determine whether a tax position of the Partnership is more likely than not to be sustained upon examination by the applicable taxing authority, including resolution of any related appeals or litigation processes, based on the technical merits of the position. The tax benefit to be recognized is measured as the largest amount of benefit that is greater than fifty percent likely of being realized upon ultimate settlement which could result in the Partnership recording a tax liability that would reduce partners' capital. Based on the General Partner's analysis, there are no material disclosures or adjustments impacting the Partnership's financial statements as of March 31, 2025. The Partnership does not expect that its assessment regarding unrecognized tax benefits will materially change over the next twelve months. However, the General Partner's conclusions may be subject to review and adjustment at a later date based on on-going analyses of tax laws, regulations and interpretations thereof and other factors.

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NOTES TO FINANCIAL STATEMENTS

NOTE 3 – INVESTMENT TRANSACTIONS:

The Partnership made equity investments in certain private entities that are primarily engaged in the acquisition, development and operation of oil and gas properties. Generally, the related limited liability company and partnership agreements provide for a specified percentage sharing of revenues and expenses until the Partnership has achieved a specified internal rate of return and return on investment. After this level of return has been achieved, the percentage-sharing ratio is adjusted to provide for an increased allocation to the management group of the investee and a decreased allocation to the Partnership.

Total contributions to and proceeds from investments are as follows:

	Three months ended March 31, 2025	
	Contributions	Proceeds
Private equity investment holdings:		
Ridge Runner Resources II, LLC	\$ 29,405,000	\$ —
Black Swan Oil & Gas II Holdings, LLC	63,033,750	—
Paloma Permian Holdings, LLC	76,000,000	—
Novo Oil & Gas Holdings II, LLC	2,375,000	—
Pegasus Resource Holdings III, LLC	29,312,000	—
Dunamis Energy, LLC	24,000,000	—
Tumbleweed Royalty V, LLC	16,513,761	—
EnCap XCL II Holdco XII, LLC	5,201,764	—
	<u>\$ 245,841,275</u>	<u>\$ —</u>

NOTE 4 – ALLOCATIONS TO PARTNERS:

Net proceeds of the Fund's investments will be apportioned among the Fund's partners in the proportion a partner's commitment bears to the aggregate commitments to the Fund. The amount apportioned to the Related Limited Partners will be distributed to the Related Limited Partners and the amount apportioned to each Limited Partner will be distributed as a return of all investment costs, fees, and expenses until such time as the Limited Partners receive an 8% per annum compounded annually internal rate of return on their investment ("Preferred Return Payout"). After Preferred Return Payout is achieved, the General Partner is allocated 80% of the Limited Partner distributions and the Limited Partners are allocated the remaining 20% in proportion to their respective ownership percentages until such time the General Partner has been distributed 20% of total Limited Partner net distributions from the Partnership ("Catch-Up Payout"). After Catch-Up Payout is achieved, the Limited Partners are distributed net cash distributions equal to 80% of their original respective ownership interests and the remaining 20% distributed to the General Partner. Upon liquidation of the Partnership, the General Partner will be required to restore funds to the Partnership to the extent that the General Partner has received cumulative carried interest distributions in excess of amounts that would have been distributed to it pursuant to the formula set forth above applied on an aggregate basis covering all transactions of the Partnership, net of income taxes thereon. Funds returned to the Partnership for this purpose will be distributed to the Limited Partners in proportion to their aggregate funded commitments.

Net increase in partners' capital resulting from operations was allocated between the General Partner, Related Limited Partners and Limited Partners in accordance with the allocation methodology described above. During the three months ended March 31, 2025, net increase in partners' capital resulting from operations allocated to the Related Limited Partners and Limited Partners was \$602,878 and \$3,260,393, respectively, which includes an unrealized incentive allocation to the General Partner of \$912,343.

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NOTES TO FINANCIAL STATEMENTS

NOTE 5 – TRANSACTIONS WITH RELATED PARTIES:

The General Partner initially receives an annual management fee equal to 1.125%-2.00%, of Limited Partner commitments or of the Partnership's cash investment in remaining portfolio investments reduced by amounts distributed to the extent such amounts constitute a return of capital and any permanent write-down or writeoff, as determined by the General Partner, payable in advance at the beginning of each quarter. The initial management fee period expires upon the earlier of (a) five years from the final closing date, (b) the date the fund is fully invested, (c) the date a subsequent fund organized by the General Partner makes its first investment or (d) the occurrence of certain other events as specified in the Partnership Agreement. After such time, the annual management fee is equal to 1.125%-2.00% of the Partnership's cash investment in remaining portfolio investments reduced by amounts distributed to the extent such amounts constitute a return of capital and any permanent write-down or writeoff, as determined by the General Partner. The management fee paid by the Partnership is reduced in the subsequent quarter by 100% of any transaction fees received by the General Partner. The management fee constitutes full reimbursement by the Partnership to the General Partner for the General Partner's administrative expenses, including, but not limited to, salaries and wages of officers and employees of the General Partner, office rent, utilities and other general, administrative and overhead expenses. During the three months ended March 31, 2025, the Partnership paid management fees of \$8,684,577 to the General Partner.

During the three months ended March 31, 2025, the Partnership reimbursed EnCap Investments L.P. ("EnCap"), an affiliate of the Partnership, \$571,222 for general and administrative expenses. At March 31, 2025, the Partnership owed \$0 to EnCap for general and administrative expenses, \$1,403,280 for organization costs. At March 31, 2025, the Partnership was owed \$10,201,963 from EnCap for management fees. At March 31, 2025, the Partnership owed certain required state tax withholdings of \$2,000,000, on the behalf of certain Limited Partners and Related Limited Partners.

Managing Directors of the General Partner may serve on the Board of Directors of the Partnership's underlying portfolio companies.

Pursuant to the Partnership Agreement, the Partnership has agreed to indemnify the General Partner and its affiliates against certain losses and other liabilities to which they may become subject in connection with matters arising out of or in connection with the Partnership's business and affairs. The Partnership believes that it is unlikely that it will have to make material payments under these arrangements, and no liabilities related to these indemnifications have been recognized on the accompanying Statement of Assets, Liabilities and Partners' Capital.

NOTE 6 – FINANCIAL HIGHLIGHTS:

The following financial highlights for the year ended December 31, 2024, have been calculated in accordance with guidance provided in Accounting Standards Codification 946, "Financial Services – Investment Companies":

Net investment loss ratio	<u>-2.1%</u>
Expense ratios:	
Operating expenses	2.7%
Unearned incentive allocation	9.1%
Operating expenses and unearned incentive allocation ratio	<u>11.7%</u>
Internal rate of return net of incentive allocation (Inception to December 31, 2024)	<u>46.5%</u>
Internal rate of return net of incentive allocation (Inception to December 31, 2023)	<u>52.6%</u>

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NOTES TO FINANCIAL STATEMENTS

The net investment loss and expense ratios are calculated for the Limited Partners taken as a whole. The net investment loss and operating expenses ratios do not reflect the effects of the incentive allocation to the General Partner. The internal rate of return from inception is calculated based on the actual dates of the cash inflows and outflows and the residual value of the Limited Partners' capital account, net of all incentive allocations as of each measurement date. Although this disclosure is required by accounting principles generally accepted in the United States, the internal rate of return, at this early point in the Partnership's existence, may not be an appropriate measure of performance due to the short duration of the investment activities and the long-term nature of the Limited Partners' investment in the Partnership. In addition, future realization of investments may be at different values than currently carried fair values, resulting in rates of return that may differ materially from that indicated above.

NOTE 7 – COMMITMENTS AND CONTINGENCIES:

The Partnership's investments are subject to legal proceedings, claims, and litigation arising in the ordinary course of business. Each investee defends itself vigorously against any such claims. Although the outcome of these matters is currently not determinable, the General Partner does not expect that the ultimate costs to resolve these matters will have a material adverse effect on its financial position, results of operations, or cash flows.